2026 Feb 4 CMA’s - Triplex, Addtition, Nightly Rental w Craig

2026-07-29 21:41:09

00:00:01 Speaker 1
Okay, screen shared. Um, by the way, here is an interesting. I was just looking down at some short term rentals in St George two thirty nine nine hundred If. You want a short term rental, this is approved Sports Village six hundred forty square feet. That might be good hook for someone to drop out there. That’s a very,

00:00:18 Speaker 2
Very The problem with Sports. Village is it’s an older complex. So the it is theum appeal for the Airbnb is kind of dwindling in that area, but it’s a nice little, you know, nice little condo David.

00:00:30 Speaker 1
They have a ton of amenities there, though. They have a ton of things to do at Sports Village. I’ve stayed there multiple times. Oops, let’s see if we’re going to try.

00:00:39 Speaker 2
It’s actually right up the hill from my my parents’house. I’ve been through there a few times. It’s a nice little spot.

00:00:50 Speaker 1
So we were looking at Hurricane Washington County It.

00:00:55 Speaker 2
Actually pulled up on your when you typed it was pulling up.

00:01:01 Speaker 1
Okay, Right here. This should be it. Yep. Okay, so there there is an active MLS number. Okay, um that makes it easier to analyze. So it’s a townhome, one point six five million dollar townhome.

00:01:14 Speaker 2
So they it’s this. This listing is there’s. So there’s it’s a fourplex, and so but they’ve split it into two and two, so this listing is technically for a duplex. Um okay and they’ve got its uh, Six bed in one of the units and four beds in one of the in the other unit. Okay, that you can rent out as an individual unit or all together. And then and then the other side as well, you can rent out the whole fourplex for a total of

like nineteen beds, or uh, or just individual or either side. It's kind of a weird setup and it.

00:01:55 Speaker 2
Kind of when I was running the numbers, it's almost like they were including the Airbnb business into the purchase price.

00:02:03 Speaker 1
So here's the question you're going to run into. So so this this one point six five million dollar listing is for two individually platted. Townhomes, is that correct?

00:02:12 Speaker 2
Correct. So if you go down to the description down there, It kind of it tells you the tax IDs for both of them at the bottom.

00:02:19 Speaker 1
Okay, there it is or yeah tax IDs Here's the issue with this Keaton, And and so you put in an offer on this.

00:02:26 Speaker 2
I did, but I discounted it heavily. Okay, I offered like almost five hundred grand less than what they're asking for.

00:02:34 Speaker 1
Is your buyer who's the buyer on this?

00:02:37 Speaker 2
Uh, myself. Okay, I am doing a wholesale on it probably. Um, I've got a partner that wants to buy it that was help wanted me to help him structure it. And then he was like, well, let's try to wholesale it too. So he's either going to close on it himself or. Um, we're going to wholesale it together. So I don't I don't know.

00:02:58 Speaker 1
Okay, I'm going to tell you that I'm going to tell you, we're going to run it too. You cannot get fine, a lender will not cross collateralize properties in the residential space. So in other words, you can't have a lender come in. You have to get two loans, and you have to break it up into two refcs, because a lender won't accept one refc. So you're gonna have two refcs, two loans, two full sets of disclosures.

00:03:20 Speaker 2
Even on a DSCR type of lender, like a private lender.

00:03:24 Speaker 1
Um, I'm you'll need to ask them. And and so if it's not flowing back to Fannie Mae and Freddie Mac, like almost everything does. If it's not flowing back to them, maybe it would what we would do. It's called a portfolio loan. Lenders that do portfolio loans, they they hold them in house. They could quote unquote break the

rule that tweak the traditional rules. Um, So that would depend on them. So maybe the answer would be yes, but you'd have to check with them on that. That's one thing you might run into, but you could get it tied up. You could get it tied up and then.

00:03:59 Speaker 2
Break it up later.

00:04:01 Speaker 1
Yeah, break it up after the fact if you need to. Yeah,

00:04:03 Speaker 2
That's what we're kind of planning on doing.

00:04:05 Speaker 1
So, what I'm going to do? This is actually going to be an interesting. This will be an interesting analysis. So I just want to go look at that community by itself. So here is the map of the community.

00:04:17 Speaker 2
It's a solid community. It's newer; they built them in twenty twenty right over there. Yeah, it's a nice little community. I like it.

00:04:25 Speaker 1
So what I am going to do?

00:04:26 Speaker 2
What's this community called, Keaton Zion Village? Zion Village, Okay, cool. Thanks,

00:04:35 Speaker 1
And. See how active is doing still staying below ten five. Good news for sellers, Okay and I got three listings going live tomorrow, so it's got to be good for sellers Okay. So I am going to. I am just going to go bounce down here, and I am just going to so I don't have anything. Any I don't have any limiting parameters aside from active under contract backup sold. I am just going to cruise it down into here, and I think it was was it right here.

00:05:01 Speaker 2
Yeah, somewhere right around in there.

00:05:03 Speaker 1
Yeah, let's. It should pop up. So, it's uh do do do do It's one of the.

00:05:10 Speaker 2
That one point four and. And then the 1. 56, so those two right there are the same fourplex. Okay. And it's the same building that we're looking at. So they're wanting what, what is that,$ 3 million bucks for the whole thing?

00:05:26 Speaker 1
Okay, so we're in the right community. So it's this community right in here. Probably not this stuff over here. These are probably not. No, no, no It's probably going to be that. Maybe not even that one. Okay, and this is going to give us a good.

00:05:42 Speaker 2
Yeah, right, right in there. Those that center cluster there.

00:05:46 Speaker 1
Okay, so it's not even these over here.

00:05:50 Speaker 2
Um I don't I don't think so. No twenty twenty north is probably it might be I don't know exactly how big the layout is, but that didn't look like what they look like.

00:06:00 Speaker 1
So okay So what I'm going to do this So. So I will come here. I'm going to exclude uh well, we'll hand out through acreage because I'm sure the listing right here. Oh, point one six acre is that correct? Point oh eight acre per townhome. They have a yard.

00:06:15 Speaker 2
Uh, there's like a little patio in the back. They've got so one one half of this fourplex has a pool, the other half does not. Okay. If you look at like the satellite aerial view.

00:06:32 Speaker 1
Okay, So what we really just want the townhomes thenum I just want to exclude.

00:06:39 Speaker 1
I mean, I want to exclude single family homes. Fifteen. Okay, so that this is what we're talking about, that community right there. Okay, that gives us clarity. I'm just going to draw a box just around that. And then I'm going to get rid of this bigger box. We have plenty of comps just right here. We're going back twelve months. I mean, a few things offhand, I mean there are quite a few active properties um, This square footage is each townhome, fifty four thirty. All right, no, I bet that's that's they're combining the square footage of the townhomes. Correct?

00:07:19 Speaker 2
Uh, yeah. I mean, we'll.

00:07:22 Speaker 3
Find out right on the tax record.

00:07:24 Speaker 2
Four hundred square feet on my end for that specific address. So.

00:07:31 Speaker 1
This is showing twenty three, thirty nine, twenty three, ninety three square feet for one of the townhomes. And I am sure the other tax ID. So they're they're combining so what essentially they're combining, they're combining the square footage. They're combiningum on both of these. So, this probably also is two tax IDs, and you get down here, and it's two yep sets down there, two tax IDs. Um and they're combining that's why you are getting nine bedrooms, ten bedrooms. Um yeah,

00:07:57 Speaker 2
It's an owner agent as wellum so we can judge them accordingly.

00:08:02 Speaker 1
This one does it does this one have a private pool or that's the.

00:08:09 Speaker 2
That Is, yeah, one of them has a pool. The other half does not have a pool. Um, but they are the same fourplex like buildings.

00:08:19 Speaker 1
Oh, so every every fourplex building has a pool?

00:08:23 Speaker 2
I don't I don't know. I mean I've I don't know. I think this one does probably. I'd assume so. I mean it's an HOA,

00:08:30 Speaker 1
So i'd assume so But that but that was not a community pool. It looked like a private pool.

00:08:37 Speaker 2
Yeah, it's got one of them has one of them has a private pool. The other the other one does.

00:08:43 Speaker 1
Okay, let's let's actually take a look at this then. Let's see how this pool thing works. Okay, so there's the one that has so yeah these are private pools. Some of these that that is the community pool right there. But despite that, some of these people are like," Oh, community pool is not good enough. I want my own backyard private pool." Um,

00:09:08 Speaker 2
Yeah they they bought it when it was built, so I am assuming they had that put in.

00:09:13 Speaker 1
All right. Okay. Let's do an evaluation on this. All, we have to do is we have to figure out what the value of one of the units is. Um and frankly, uh, it's going to be It's gonna. You know, it's going to be something They are overpriced. There is no, there

is no question about that. They're for sure overpriced. The best sales, if you look at the sales, you know, ignoring sort of these actives, You have this, which is thirty sorry, this one here, twenty three, sixty one square feet. That's roughly one of these halves and maybe a little smaller sold for seven hundred last year, six, ninety five about a year ago. Um so yeah, I would agree that, that and that's there's the community pool. Here's the insides. Um.

00:10:00 Speaker 1
And so, and there's that looks like community community stuff. So, that one here. Oh, that even sold seller financing is even less reliable. So, That probably sold, you know, so let me just take a note. This is a site. It's a it's a it's a mid unit seller financing um, twenty three sixty one square feet um and that was six ninety five k. Um, now let's look at this one here. Okay, So this one here is you know, similar square footage as the one that sold here. Sold for six thirty five in May. And this one is also a mid unit. And, this is probably more indicative of value, frankly, because, and you got to pay attention to those seller finance terms guys.

00:10:54 Speaker 1
That they are not reliable comps. I saw an agent in the brokerage last year, give some bad advice because and he had not was not paying attention on his CMA and had included three properties in the CMA that were seller financed and was basing his advice off that. And that's not good. This guy overpaid here, probably by sixty thousand dollars, unless t here is something I am not seeing, it doesn't make sense to pay sixty thousand dollars more. And so, Here you have six thirty five as the value, and that is conventional financing. That's how you can see that, whereas right here you take a look at it, you are going to see seller financing. That's how I knew. So now let's go down here. So these are smaller um eighteen hundred square foot, variety, nineteen hundred square foot, variety, five, eighteen four ninety. Um I think this, this gives us enough data. I think here to probably say at best right now.

00:11:51 Speaker 1
Um, you know, A twenty four hundred square foot mid unit is going to be around six, maybe six, forty, six, fifty is probably the max I would give that valuation. Um and on a mid um end units, you're probably going to carry in this community ten to ten to twenty thousand more. Um You know something like that but we just the comps are scarce. Um now let's look at actives. I wasn't even looking at the actives right now. So I'm going to ignore this one. This one appears overpriced. I'm like why would you have eighteen fifty nine Look at the eighteen hundreds. You already have two sales. He's priced at six twenty five as if he were like this guy right here, and he's not. The square footage is too low. He's overpriced. Um, This one I I would not that that one is a clear overprice. Um T here is no pool or any other random stuff like this one's just overpriced. So um actually no sorry, t here is what I was looking for That's a mid unit, especially that's no way that, that one's going to fly.

00:12:50 Speaker 1
Um, then we have this one twenty three sixty nine. Why would this one sell higher than twenty? This one or this one? This this guy's probably in this listing agent probably saw that hit this March twenty fifth sale. This guy went on the market in August and and why he's listed at eight ten, makes no sense to me. And he's still overpriced at seven hundred because this six, ninety five was based on seller financing. And that's not going to happen with this guy. He's been on the market for six hundred and six days. Congratulations, you might be a perfect candidate.

00:13:26 Speaker 2
For a seller finance sale, but hey, whatever.

00:13:29 Speaker 1
Yeah, who knows what's going on with that? I don't want to judge. I want to judge, But you know, if you are on the market for two years, guys something's probably not right. So that one's clearly overpricedum and again, improves like I like that I like comps where it provides a clear runway. And this comp this comp is. Providing a really clear runway that that this square footage cannot get you seven hundred thousand dollars in this community. It's not going to happen. Um, and then you've got a, you know, Uh unit and let's just make sure this is this might be two separate units, which I doubt. Yeah, this one only looks like one unit. Um just happens to be a very very large unit five bed one bath. That is really in that was really interesting um five bed one bath.

00:14:18 Speaker 1
Yeah, this one's huge. Huge square footage, five bed. Well, actually, why is it saying six bed? Oh, six bed. Sorry, I was looking at the upstairs. Six bed, four bathrooms. Sorry. Six bed, Four and a half bathrooms That feels like it's got to be two units together. I mean, that's just, but they they would have sold those individually at much higher prices than one one by itself. So. This just happens to be a really large end unit. And indeed, it is. I mean, there you go; it's got the main level, second level. I am not going to dive into that. So that's an interesting comp. You would think, man, that feels priced well to me. It's been on the market twenty seven days. And based on the fact that the twenty four hundred value is worth six thirty five. You would sure think that thirteen hundred square feet more would get you that. And it's just not um.

00:15:15 Speaker 1
Here, here is here is okay. Here is an interesting. Oh no, that was sorry. That's a seller finance comp. Okay, This guy twenty six, ninety five This guy again This guy's overpriced. If the three thousand six hundred guy is not picking it up, Why, would you suddenly be the anomaly where you could be much smaller and priced much higher Unless? There is like unless you have a private pool in the backyard Which, they don't Guess what You don't need. One The community has one But So. These guys are overpriced. This guy's eight fifty smaller square footage million. It just

makes you wonder. Now, this guy has his own private pool, So I can see why he’s trying to, you know, finagle something with that with this. Uh with this That’s,

00:15:59 Speaker 2
One of the ones these guys are selling.

00:16:02 Speaker 1
Is this two units? This is not a unit.

00:16:05 Speaker 2
No, actually it’s not. Oh never mind That one does have a pool.

00:16:10 Speaker 1
Yeah, so so here’s here’s where I’m.

00:16:13 Speaker 1
Here is where I am thinking, Keaton. Um, let’s start with this one. This fifty one oh, eight square feet because that’s roughly twenty five twenty six hundred square feet. Yes, that’s that’s overpriced for two units. So they’re asking seven hundred thousand a unit when, frankly, I think it’s closer to six thirty five a unit. Yeah, Andum.

00:16:34 Speaker 2
I was on I offered way under that too. So I mean, am we’re on the right. Okay,

00:16:39 Speaker 1
Track That, that’s the that’s the right way well, and they’ve got that’s. That looks like wallpaper, probably.

00:16:45 Speaker 2
That’s wallpaper. Yeah.

00:16:47 Speaker 1
Um, let’s scan through this real quick just make sure I’m not missing.

00:16:53 Speaker 2
Oh, that’s one of our subject ones three twenty eight Yeah, That’s one of our subject ones.

00:17:01 Speaker 1
Okay. So yeah, that’s that’s all I need to see here. Okay. So. Yeah, this is what I am thinking on this one. Um, I would value each side. I would value the the mid unit probably at six, thirty five and the end unit since it’s, I am sure one of those is an any maybe maybe at six, fifty, six, fifty five, collectively, one point two to like one point two five. Let’s just call it that rough numbers. Um, yeah, I would say that one’s worth probably one point two five. And. And then this one is going to be worth a little bit more than that, not much.

00:17:35 Speaker 1
A little more, so you are maybe one point three. Just though that's just rough numbers on both of those, right? And honestly, T here is significant.

00:17:44 Speaker 2
Concern about way under what you are, what you are selling.

00:17:48 Speaker 1
Okay, so that's good. T here is significant. Yeah, I am glad you did t here is significant concern. Even at the one point three, because this thirty six hundred square foot plan is not selling it at this price. You know, I think t here is some concern.

00:18:03 Speaker 2
Seems like they're they're including their Airbnb business into it, but when I talk to them, Is they're trying to because they got an SBA to build it to buy the thing and build it because they were doing that Airbnb. So they're trying. Go ahead,

00:18:22 Speaker 4
Brent Keaton. I'll give you a little bit of insight. Just i mean, I own three Airbnbs and across the board. Um, things have just been really slow in the short term rental space. Um, and I mean I've seen a significant drop. I've been pretty lucky with mine, But that's because I can price lower than most because I have equity in the house. I've got cash flow, But am noticing like a pretty big drop, and it's starting to like I can tell that. I feel like we're kind of almost at the bottom right now So. The good news about that is.

00:19:00 Speaker 4
That at least like I think you've got some negotiating power right now because they don't like one thing. I would definitely do on any Airbnb, maybe just for the group is right now. I wouldn't really care about past numbers and I would look at okay, What's your current bookings where you where are you booked out right now? Because um people are. I mean, I think Airbnbs are a good time to buy right now because we're we are toward the bottom right now and I don't think it's going to stay at the bottom. I think we'll we'll eventually go back up.

00:19:29 Speaker 2
Yeah, and St. George is a tourist. I mean, it's going to be a tourist only town in ten years. So, I mean, It's going to be a good. I mean, they've got they're booked out. They're booked out the next year or so. And They've been their NOI currently is like one hundred and thirty five grand. Yeah, so you are making they're making decent money, right? Like. But, they they want to do a ten thirty one into like a commercial project, that's why they're selling this thing. But I offered like six hundred six hundred grand a unit, and they didn't balk at it. So there might have it under contract here in a minute. Butum that's cool.

00:20:07 Speaker 3
That’s awesome. Yeah,

00:20:09 Speaker 1
That’s great rock and roll. Um okay thanks thanks Keaton for giving us that one. That’s an interesting one. I you can always pull comps on the st. The washington. County MLS, just in case you find different ones. Yeah, I find with these kinds of, yeah, we got. We got quite a few comps here that I didn’t feel like we needed to bounce the other one. Um okay, we’ll roll the Asha’s property then. We’re going to Caitlin has a question too about an addition that one of her peeps wants to do. Um. So uh, right, let’s see Asha. Did you put it and drop it in the It’s?

00:20:45 Speaker 5
It’s eighteen N Street in Salt Lake.

00:20:50 Speaker 3
Okay. Let me uh. Okay,

00:20:53 Speaker 2
That’s a good one to come, Pasha.

00:20:55 Speaker 5
That’s a good one. Okay, what was the street? So it’s not listed. It’s off market.

00:21:03 Speaker 1
Okay, go to tax ad. Okay, what was the street name?

00:21:06 Speaker 5
18 N Street and like Nancy.

00:21:10 Speaker 1
Okay, 18 N What is the name of the street?

00:21:13 Speaker 5
Mhm Yeah it’s in Avenues.

00:21:16 Speaker 1
And is And is the street name Craig, Okay, so let’s go with the house number.

00:21:23 Speaker 2
The address is eighteen N Street.

00:21:28 Speaker 1
Okay, N Street is the street name;

00:21:31 Speaker 2
Eighteen is the home number.

00:21:32 Speaker 1
But finding this on, here's the problem with finding this on tax records.: is if you just type in". N," we're going to get every. yeah, it's not going to work out. Um, see if I can.

00:21:47 Speaker 1
Yeah, this is the first one.

00:21:48 Speaker 2
Wasn't it previously listed? I can't remember if.

00:21:51 Speaker 1
You five thousand seven hundred and if I put eighteen for the house number, it's because it does eighteen. Um, okay, actually okay, never mind. Never mind. Okay, they took the eighteen. I was worried he was going to give us additional digits here we go Betty Harrisum actually no, let's see did I get that right? Did I click on. Yeah Eighteenth Street here we go. Um. Previous listing. So it was listed back last year. It sold last year. Uh, wait a minute, so they are wanting to sell again,

00:22:25 Speaker 5
Yep. So it's being flipped right now. So so it is a multi- unit property that will now have three units, a one bedroom, a two bedroom and a three bedroom. Each with their own kitchen and washer and dryer.

00:22:46 Speaker 1
Okay, and is this is this legal? Will it be a legal triplex?

00:22:53 Speaker 5
That's a good question.

00:22:56 Speaker 1
Um okay because if it if it be if this becomes a legal triplex, this seller or this buyer just scored. I mean, I don't know how much it's going to cost for whatever remodel they just did, but this isum, So let's just take a quick look at this one.

00:23:14 Speaker 5
How do I know if it's a legal triplex?

00:23:17 Speaker 1
So the okay, there are a couple things. I mean, you may want to have a brief conversation with the listing agent. And the best way to do is you call the city and say, city, is this a three unit property? The only thing is if it's not illegal three unit property, you've now alerted the city that there's an illegal use happening at the property. Property, um, and so so it depends on how many alarms you want to raise. But but let's just look at this tax ID real quick. Um single family residence. I highly doubt that this is a and and you could also even do this right here. Um Salt

Lake City zoning map. Um, and interactive map. I mean you can come here, and, and see what.

00:24:07 Speaker 1
See what is happening here. Um, 18 th N Street. You might be able to there might be a whoa, whoa. It's not what I meant to do. Okay, let's just zoom in. Okay. Actually, it's been a really long time since I've looked at the Salt Lake City zoning map. Um so.

00:24:29 Speaker 3
Okay. So it's just above South Temple.

00:24:34 Speaker 1
And about 900 East. Right in there. So, um, let's zoom in.

00:24:47 Speaker 3
Let's see where am I? South Temple. Where is 900 East? 400 East,

00:25:04 Speaker 1
500 East, 700 East, 800 East, 900 East. Okay, so we're let's go see what our zoning looks like. So this is nine hundred east.

00:25:15 Speaker 3
Um. Look at this again. So,

00:25:23 Speaker 2
It's it's not you were just on end street there. Uh Craig, yeah, the next one on the map, the R and third right there, right here uh right to the right here, end street's on the right there.

00:25:37 Speaker 3
Oh, and sorry.

00:25:38 Speaker 1
And okay, there we go. So here's the here's the key. Yeah, check so there's a thatching over the top of this. There's an underlying base color. So, there's a lot. There's a lot going on with this zoning, and we'd have to dive into the layers over here to figure out what what those areum.

00:26:03 Speaker 5
It is in a historic district.

00:26:06 Speaker 1
Okay, which might be one of the which might be one of these. Yeah, um, they've got okay, they've got a number of things happening. So, what I would call the city is I would give I would just call them and give the address and not tip them off. Oh, I mean they I don't know. I would call the city. It might be Is it this house right here?

00:26:29 Speaker 5
I think so Yeah.

00:26:30 Speaker 1
It looks like it's that one because it's this. And then that And so you're. This house, so you're um and it's got it's got its own weird thatching. Man, they've got a really complicated map there. I know they've got a lot going on. So, you'd almost set you'd have to give them that property and just say, okay, what are the legal uses of this property? Um and then just see what they say. Okay. Um and and find out what they You know S R one A I'm not exactly sure what that would mean.

00:27:02 Speaker 1
If it was in the R M F thirty five, no problem. That that was like residential multifamily with dozens of like you would have no issue in that zone. I don't know in the S R one A zone, with the specific thatching overlay, we could dive into that um. And find it, but I would I would honestly call the city. The the the simple tax I D mentions nothing about, uh just says single family. So uh, but this could be old. Um there could have been something updated.

00:27:32 Speaker 1
I don't know, but I have no problem with these illegal rentals. The buyer just needs to be very aware of the exact legality of each property and if they move forward to purchase, so be it. But I will tell you, The lender is going like Is this a cash purchase? Or is this going to be financed?

00:27:50 Speaker 5
Yeah, cash deal.

00:27:51 Speaker 1
Okay, that makes a lot easier if it's financed. The appraiser will notify the lender. The appraiser will go through this, We'll contact the city, get the exact legality of the property because they're required to appraise what's legal, legally permissible. And then they'll provide that to the lender. The lender would then see, oh, it's a single family property and and there are three kitchens. And they honestly might just nix the deal right there. Um It might be hard to get financed since you're paying cash. Okay, Then, you can do whatever you want and your buyer So. What I would do knowing it's cash I I think just do this call this I mean you can ask the listing agent, but but I, but you really even if listing agent said, yeah, it's not a problem.

00:28:30 Speaker 1
If, you talk to a listing agent, and they they may say, no, it's not legal. And then you know uh, but either I think I think you still call the city and say, what's the exact issue with this, you know what? What's the what what legal uses could occur with this property?

00:28:44 Speaker 5
Okay. So I just I just googled it. And it says the SR 1 A has is part of a citywide effort to increase housing options, reducing strict, strict, single family only limitations. Supports detached houses, duplexes, and up to four units in specific affordable configurations.

00:29:08 Speaker 1
Okay, so they so they might be good with that. And as you scan out scroll out, You'll see that that SR one A sort of is living up in the it's in the avenues. I mean that's specifically up there where they're going for it. So so it may be good. Um let's so let's let's look at this as if it were triplex. And but but I would again call the city and and you could even. It's honestly best to have the buyer call the city, so there is nothing lost in translation. Because if you translate it and you translate it wrong, the buyer has liability. They say, "Well, Asha, I relied on your conversation with the city. You said this would work. It actually doesn't." And then we are. And then so there are moments that I sometimes I have called and said, "This is my understanding," but please do not rely on my understanding for this. And I have it in writing either text or email.

00:29:55 Speaker 1
I said, " P lease call yourself because I need you to personally confirm this and not rely on what I am telling you right now." Okay, I've had some of those moments on deals where I am just trying to cover myself. Um, and it worked. Uh, nineteen years being a licensed agent it's worked. I've never had an issue come back at me. So um being careful is appropriate. So let's so let's do this knowing this Let me close out of some of these. I got a lot of browsers open That's the property we're working with And I got the tax ID. I want that. I want to open up a new tab and we're going to go search. We're going to go multi unit. And uh, this one we're going to be hyper focused. And the reason why we're going to have to hyper focus on this is, I mean you look at your geography, You know, when you're in this is what's called and I'm giving you technical terms to help you. Uh just understand a lot of it just be the more educated agent.

00:30:53 Speaker 1
So so the CBD CBD stands for Central Business District. This this this uh triplex, potential triplex, is right near the CBD. It's also near the University of Utah. So I, we don't we really don't need um many multi like we're going to really need to focus really on what's going on with this specific area. Um, we're not going to have to go deeper into the valley, that's for sure. We're just going to look right in here so Um, let's go ahead and pull up. Uh, okay. So we've we've chosen this. Now I'm going to go for the time being, I'm just going to look at duplex, triplex, Fourplex because a triplex can sort of act as a duplex, or like some you can some sometimes get enough data on two or four units for a triplex. If you're only a duplex. I would never

go look at a fourplex, if if unless it's the only comp. Um. So we've got this these number of comps um and then I'm just going to view map.

00:31:50 Speaker 1
I'm going to scroll down in on um I'm going to scroll down in on this. Okay. So we're sort of in this area, there should be plenty um plenty to choose from. So we're actually up here on this side of things. Okay. So you can see how many are just in the immediate area. There's no uh we got to be careful being right next to the capital. So I might I might make a different square. Um we're right. Like literally my my hands on it right now. So I'll I'll put this over here. So let's um, I'm going to probably draw this a bit differently. Um, maybe more like that. And I'm going to get rid of the original square I did because I don't want these over right by the Capitol building. Subject property is right here. Um and then you so we've got, I think that's a good variety of comps like that's really solid um.

00:32:50 Speaker 1
And you can take a look at these, and and you could just ballpark from looking at this, you can see sort of where the mid is. My guess is like these more expensive ones, this is going to be a fourplex most likely. Yeah, fourplex. And these, the less expensive ones down here are going to be like a duplex. Um oh, that's actually a fourplex, but it must be tiny or in yeah, total square feet. It's tiny. Um actually let's look at the subject property real quick. This one says, 2100 square feet has a basement. Salt Lake County is my favorite. You just go to the parcel detail and it gives you this beautiful breakdown. Um, we're dealing with thirty one fifty square feet, twenty one hundred above, thousand below basically. So, um we have a pretty pretty big size. And if you just look at the square footage, I mean the quick, the quick version of this is you look at the square footage, and you're like bingo right there. Um.

00:33:45 Speaker 1
Although, there's some some into here as well where this is justifyingum and where we start getting outpaced is the 4000 up here. There's a 3100, but this is going to be fourplex instead.

00:33:57 Speaker 5
Based on my walkthrough of the property I think that they're they have expanded that square footage.

00:34:06 Speaker 5
Okay, I maybe like 200250 square feet.

00:34:10 Speaker 1
Okay, so it might be acting more like this size of property right here. And this one is a fourplex. It's been on the market for almost three months. And, um, are they doing a remodel on the inside as well? Like it's going to be yeah total.

00:34:28 Speaker 5
Total gut. Yeah,

00:34:30 Speaker 1
Okay, this is I. It's so awesome to see this architecture. We just don't get that in our new builds. Nowadays, I just love some of that architectural feelum that, that ceiling is just beautiful. Um.

00:34:47 Speaker 1
Okay, so this one's a per million, but it sounds like you're a brand new. Oh man, you are going to be in pretty good shape on this. Have they given you a list price already?

00:34:59 Speaker 5
Um, So he was so the investor was saying that he was hoping to get one point two, but for my cash buyer we'd work a deal.

00:35:11 Speaker 1
So both.

00:35:16 Speaker 1
Okay, well here is one on N Street. That again fourplex and that's the thing and this is one point three. It's the square footage that you are talking about, maybe this one's maybe a little bigger. Um but this one's not remodeled. I I it really depends on the rents you are going to be able to get Asha like. So here here is what here is what we would need to do. This would take a little while um if you go, if you want to get really, really particular on this.

00:35:47 Speaker 1
There is there is the G R M analysis that we could do. Um, that is that is based on your rents. Have you have you sat in on one of my G R M trainings?

00:35:59 Speaker 5
I don't think so. Well, um, no, no. Oh, like grossum gross rent multiplier. Yeah yeah.

00:36:07 Speaker 1
Multiplier yeah and I sent that gross rent multiplier sheet actually out. I think Nathanum I think I sent it to you, but I think he asked for it recently. Um. That I mean, if you want to get super technical, that would be the the sheet to follow. Um. And in fact, let me see if I've got see. There's there's the doc for it, um right there. So I could drop this in the Google I'll. Let's see, let me I'll just email this myself. I'll drop this in the Phoenix channel.

00:36:45 Speaker 1
Um, But but the critical thing on this you, you can't don't this like the master copy. So you've got to copy this over. I built this by the way, so um, you drop your address

in here your your square footage, your rents and it's going to start doing some calculations for you. You can put your beds bath, just to give you some like human like elements, not just looking at um. This could help you with the analysis. And then the subject property, here's where you put the subject property address, you put its square footage. And anyway, you don't modify the stuff in yellow. Only insert cells into the white. For cells in gray, let's see, I've got the explanation over here. You'll need to insert the respective cells inside of parentheses separated by commas. If you're like taking averages and things like that.

00:37:42 Speaker 1
So you can follow this. You can also do a cap rate analysis where you are doing okay, what are the monthly rents? You know, calculate the annuals. What are the property tax, insurance? Put in a vacancy factor. You know, just sort of just add this through here and see what your NOI is. And then you can play with different values, and then it'll come up with your cap rate here. And then that's another way to look at it. But honestly, the gross rent multiplier is sort of the accepted methodology for. Units that are four units or less, butum, so you may you may want to run it through this. You're going to have to go on projected rents because you just don't know, you know. It's going to be sold vacant is my understanding right?

00:38:23 Speaker 5
Yeah yeah. And, a lot of the the multi unit properties that I've been looking at because my clients want to be able to net at least four k a month. So that I mean that automatically puts you in a higher price point and a larger larger property to be able to net that. But in a lot of the listings, like these agents do a terrible job of populating their listing. Like they're not putting in rents, you know, they're not they don't put in all that stuff. So I've been spending a lot of time on the phone and texting agents to try and get what their current rents are.

00:38:57 Speaker 1
Okay. Yeah. Yeah, Which is sad that we have to be calling them to give them that like you think they would be openly advertising it to help get the property sold. Um. Okay, So I would I would sort of go through that if you want to get really particular and that'll help you feel better. Um. About about things I I can see why he's aiming that high because of how the condition of the building. I mean that's it's going to merit a premium for sure. It'll get premium rents so it'll be justified, um, Yeah, so he's going to get a premium in that area. And and and that seems justified because I mean, if you look at this, just based on the square footage alone, he's bigger than this, and um.

00:39:36 Speaker 1
You know, these are all these are just not comparable down in here. The square footages aren't comparable. I would probably look at anything that's twenty five to hundred square feet and above, um in your analysis. Although that someone got a deal on this one right here, but it also might be junky on the inside. That's and it's

only this one's only duplex. Um, yeah. So it's only duplex which inhibited the rents, which is why it inhibited the price as well, um, But I I think that's a pretty good. I can see if I were that investor, I would have been aiming. I mean, one point two puts you at the very top of the scale, and of course, Am going to aim for that too, if am the one that's doing being the seller. But i don't I don't think that he had hit that. It's hard to know ; someone might be willing to pay for the premium for a gutted home. Um, But if you are picking it up at one point one, or i think you are going to be in good shape on that. Okay?

00:40:33 Speaker 1
So, but take the time. We just don't have time today. Like, it takes a solid thirty to forty five minutes to go punch through. Like, like you just take you take some of these similar comps that we that we pulled in here. Um take like this top tier comps things are like maybe twenty five hundred square feet and higher and then punch them into this. And then and that'll give you some good ideas on price per square foot price per rents and Jeremy I. Mean, you can just start. You'll have a really solid, yeah, yeah. Here's the thing, if you turn around and then give this to your investor, your invest like or sorry, your buyer, your buyer is going to be very impressed. Like wow, that you went through and did that and just sent that sheet over.

00:41:10 Speaker 5
Okay. So it's a similar process like for I've done it a few times using your like the commercial for commercial properties. Yeah. You know kind of going property by property. Um yeah that's really helpful.

00:41:24 Speaker 1
Yeah yeah, so I'll I'll send this I'll put this in the Phoenix league, but please make a copy. And don't use this oneum. 'Cause I, yeah, I don't know how to protect it and do it that way. So, just you'll be able to pull this in somehow make a copy of it. Um, and yeah, and this cap rate is sort of like a real brief, just sort of a just a gut check. Um, And then and then I like to sort of compare both side by side. And that gives me something that I sort of just hone in on from there. Um, let me give you a quick win about multi-unit stuff. I'm going to tell tell you something super powerful. And, then we'll talk about Kaitlyn's thing or Asha. Do you have any other questions on this one before we move on?

00:42:00 Speaker 5
Um, nope. I don't think so. Except let's say I call the city and it's not legal. What kind of impact does that have on value? Because I mean, I would imagine a lot of investors don't care, you know, if it's legal or not. But what's your take on impact to value?

00:42:21 Speaker 1
It's you can only sell to a cash buyer. So limits your buying pool. You may have insurance issues as well. Okay. Um, Because the insurance and here is the reason

why the insurance company, if if it, if it um burns to the ground, what can be rebuilt? And so that's the question you need to ask the seller like the the city because uh, some some of these are grandfathered. In this case, it's not this. In this case, it's uh The grandfather is probably single family zoning, but they're giving an enhanced zoning opportunity, a more dense zoning opportunity.

00:42:58 Speaker 1
But let's say they had reversed it. Let's say it was formerly a triplex zoning, got and then got down zoned to single family, but was grandfathered under triplex. The the city where where you can overcome, that is if the cities, so that would be a legal nonconforming property. Legal in that it was there legally originally, nonconforming that it doesn't conform to current zone. Legal nonconforming properties I am not as worried about if you can get what's called a one hundred percent rebuild letter. Or if it burns to the ground, the city says," Yes, you can rebuild it as a triplex." I've experienced no issues with lending, no issues with insurance. If the city won't let you rebuild it as a triplex, you might have insurance issues and you will for sure have lending issues.

00:43:42 Speaker 5
So the hundred percent rebuild letter you would get from the city.

00:43:46 Speaker 1
Yes, they can get, they can give you a document that says, hey, if this property burns down, we will allow you to rebuild this as a triplex. Okay? And if I am the cash buyer, I would want assurances from the city that i that if it burns to the ground, they don't say, well, It's too bad. Now you have to be a single family home, and his value goes way out the window at that point. Like or at least it's risky. Downtown he's a little safer. It's downtown Salt Lake like property is worth a lot of money down there, but but it's just risky. And it's not what he's intending to use it for. So so I would I would either way have a conversation with the city? What's legal? Okay. And then you can ask the question, what if this burns to the ground?

00:44:23 Speaker 1
What can he can he? What can he rebuild on this on this property? Um you know? And and then and then if if it's, if they say, it's it's if they tell you, yeah, it's legal to rebuild as a triplex. You don't need a rebuild letter because it's just there in the code already. The rebuild letter is for the non- conforming properties. Okay. Last question,

00:44:43 Speaker 5
If you yeah, if you so, let's say we get a great deal on it. Would you get an appraisal as a cash buyer? Or is that a waste of money?

00:44:52 Speaker 1
Not on the if you do a thorough G R M, I wouldn't worry as much. Aside from you

could pay an appraiser to go measure the square footage. If you are really concerned about that. Um uh uh the uh gosh Marty Bodel he'll go out there for I, think one hundred fifty bucks and measure. Okay, if if you that I mean that, because that's what you what I love of the risk and I've had this happen before one time in my career, cash buyer purchased I relied on tax records. We went to sell. And then we found out through an appraisal process after the fact that oh, square footage is smaller than you thought. And we didn't know until afterwards and it hurt the value. My buyer was okay only because it had appreciated so much in the meantime. So it was a good moment, but had prices not appreciated, we I it was like a moment where Craig could have been more professional. Um so yeah, So but yeah, if you've done a really good G R M I would just send like the appraiser is going to use similar comps.

00:45:46 Speaker 3
And you know if the guy wants to spend.

00:45:49 Speaker 1
You know, multi unit appraisal is probably eight hundred bucks or something like that. Maybe a thousand, if you want to spend the money, just in case you can. Okay, but okay, I am going to do a quick win about multi unit stuff that will like hopefully open your eyes about something. And then I will. And then let's answer Caitlin's question. I'll take like three minutes here. Critical thing : yesterday, I met with a seller who has two six plexes in Provo. They're interviewing ;, they already have been down the road long distance with Keller Williams Commercial.

00:46:20 Speaker 1
It's a division of Keller Williams that focuses on commercial properties. And you think, man, Commercial outfit's going to come and blow away primary listed experts because we're not this commercial outfit. Which guys we are. We do both. We are equally powerful in both. And I walked out that door and the guy who was my witness, well Nikki Worthington who's in our brokerage now but oh anyway The guy was like Craig. I am going to list with we're going to list with you. I am going to list with you. I am very impressed, And i'll share I'll share with you some of the reasons why we're going to win the deal. Um, the commercial portals do really well for things like office buildings, Retail buildings ;, they're okay at multifamily Utah Real Estate dot com kicks the booty on multifamily. I know this because I've got multiple experiences where I sold an apartment.

00:47:18 Speaker 1
Apartment buildings, And I put them on the commercial channels, and I have put them on UtahRealestate dot com. All of my buyers have come from UtahRealestate dot com. So, what I had him do, I said, like Can, you hand me the Keller Williams Commercial had handed over their marketing plan?" So, I looked at the marketing plan. Nowhere in the marketing plan did it say UtahRealestate dot com. It said LoopNet, Crexi, CoStar stuff that i that we're going to do also. And I said I said, " T

here is a huge miss in their marketing plan where you will get you are going to miss massive exposure." And then I gave them examples of apartment building I sold in Wendover, apartment building I sold in Copperton, a six plex we sold in Provo about fourteen fifteen months ago. And where we put it on all those channels and the buyer, the overwhelming amount of traffic we had came from UtahRealestate dot com. And we syndicate this is something you guys all need to know. I have on full blast syndication services, which I actually paid for some additional stuff to make that happen. So when your listing goes in, it gets.

00:48:13 Speaker 1
The broadest distribution possible, and so it's getting out there to a lot of different places. Now, we're going to do more than just that ; we're going to tap into some social media and some other things. But I explained this to him, And then I went on the MLS and I literally went up here, and I said, "Look," um, "I said you are talking with a guy named Stephen Tobias." Um, "and I said, 'i am going to pull his up and let's see what his production is on Utah Real Estate dot com.' It's zero." Keller Williams Commercial. This space here shows zero. Just for kicks, just so you can see, and then I said, "Let me show you what it should look like." And then I pulled up my name. I had my computer in front of him sixty recent sales. I did that, and the guy was like, "I am done. I am ready." Let's what do we need to do to move forward? No talk about commission; like he wasn't even cared about that. This is a one point ;. You know, these are two six plexes, and then he's also got a duplex, which, by the way, commercial people shouldn't touch duplex. They have no clue what they're doing with that.

00:49:12 Speaker 1
And how to correctly and accurately value it. And you will, if you put a duplex on LoopNet, you are sending it there to die. It's not going to get any traction. Joel just closed that five point five million dollars building student housing downtown Salt Lake or downtown Provo. It was never on the MLS, guys. It was only on LoopNet, and it sat and sat and sat with a good cap rate had that Had that building been on UtahRealEstate dot com comma. It would have been sold a long time ago. The commercial folks don't understand the power of UtahRealEstate dot com. They're not members of the board. They're not members of or or this guy's on this guy that Steve Field buys guy, he's on here. Why in the heck are there no sales there? He's not putting anything on there. And, then there was a co agent, and I pulled him up, and he had three sales in the last twelve months. All it all I had to do and the guys like, okay, how do we how do I sign up with you? It's the power when we come to talking about multi unit properties, we have the power.

00:50:05 Speaker 1
Like even if it's an apartment building, We have more of an ability to sell those apartment buildings than than the dudes that focus on apartments. Now, The only caveat I am going to say is some of those apartment guys have been in long

enough. They've got a good investor list that they can share it with. But guys, no problem. Don't worry about that. You put it on your title site dot com, and you are going to have plenty of exposure. Okay, Kaitlyn. So Kaitlyn, You've got the buyer where they want to, they want to remove the bathtub in the master, create a door. And go to uh and then go into and build a uh like an office, a three hundred square foot.

00:50:41 Speaker 6
Yeah. And yes, and let me try to I'm gonna send. So that's what the exterior looks like. So the pop out is the is the third car garage, um then you have the AC unit. So where those windows are that last window is where the bathtub currently sits so they want the. Three hundred square foot extension to be off of that window. Mhm. So, obviously, it's going to be like you can't really do too much because of that AC, so you have to have like two feet of setbacks for the AC. Um, so it's kind of a it's kind of a weird yeah, it's kind of a weird location. They want the window.

00:51:25 Speaker 6
Instead of the window to be facing out in the yard where you get the most natural sunlight, they want the window to face the garage. Um, The contractor that's bidding the job suggested an exterior door entrance, which makes sense because for resale wise. Um, it's kind It's kind of a weird location. And they want to put a closet so it can be considered a bedroom. I told them they don't need a closet, you know, for it to it. They'd be better, I think, To just list it as like a flex space up for the master because if that's a bedroom, the only access is through the master bathroom.

00:52:07 Speaker 1
Yeah, I would not list it. Yeah, they don't need. They don't need it to be a bedroom. Walking from one bedroom to another bedroom is allowed. Um It could It would legally be counting as a bedroom. It's just functionally not.

00:52:22 Speaker 6
Yeah, And so I am. I've been asked questions about additions pretty frequently lately, And I just want to be more knowledgeable in how to answer the question, but also stay within my scope of things. So.

00:52:41 Speaker 1
Each addition is going to be a little different because of what it's going to do to a home. In this case, it would be what I would call a functionally obsolete addition. And so, Especially if it has a window looking into the garage, and there is this dead space in between the garage and the addition, and there is a condenser unit out there. I have seen, and it's been a while since I've seen this, but there was a builder that was building private rooms off masters. And universally, every time I showed that to two buyers, they actually do love that where it becomes a reading room, an office. You know, It just another way to get away from the kids because you can sort

of have another barrier to sort of put yourself out there. So it does add value to the home, But they're going to get get a bid back that's going to be.

00:53:32 Speaker 6
Like seventy five k Yeah, you got gotta change. You have to change the roof line. You have to, You have to switch up the plumbing. Like. Now you're going to have to move the plumbing from behind that wall to under the concrete, and that's going to be that's going to be pricey. So, That's where as a as an as their agent I'm trying to make sure that they have the best. I think they'd be better off to do an office shed.

00:54:00 Speaker 3
Mhm, a detached.

00:54:03 Speaker 6
A detached shed that they like custom built. She d, that's an office with French doors, a mini split unitum maybe put it on a movableum foundation.

00:54:16 Speaker 3
Yes, on all these books,

00:54:18 Speaker 6
Because then they don't have to pull the permits. They don't have to change the roof line. They're not spending 75 to 100 K on an addition that they might most likely in this neighborhood specifically I, just don't see them getting much out of it. Yeah.

00:54:32 Speaker 1
Um, here is where you are going to. Yeah, you are one hundred percent right, and I am going to give you some numbers to back you up. So, um, I recently closed a deal where the buyer where the home did have the kind of thing you were talking about. Um, smaller than what these guys I think are envisioning. But um, I, the buyer fell in love with it immediately immediately um a detached office space because people can turn that into a yoga studio. They can turn it into a. So many different things, the functionality of it increases, and especially since it's not like connected through the master, the functionality increases. The cost goes way down and your value is is still going to be good. Like, you're, you know, I can't guarantee that? How much like I? Don't can you are you going to get twenty thousand value out of it? Easy depends on how big they go thirty thousand dollars value out of it. Probably. You know probably in that range for a detached structure like that three hundred like to keep it under the build building permit.

00:55:29 Speaker 1
Um, size you might need to be I don't know what that that number is. There's like two hundred some odd square feet or something, But there's some size they need to keep below, and then they don't even have to get a permit for it. Um, anyway, But I totally agree with you because that you know, the cost on that is going to be way

way, way less. And it’s still going to increase your value. The the other one through the master probably would give an increase. I’m just throwing this out there. It might also increase your home value by thirty thousand, maybe thirty, maybe thirty thousand or so. Um, twenty five to forty thousand at the most, But but it’s going to cost way more seventy five to one hundred, whereas the detached will give you a value of ten to ten to thirty ten to twenty five thousand, but cost way less.

00:56:10 Speaker 6
Yeah, the quote for the detached was between twenty and twenty five thousand. So they’re basically that’s a win. That’s that’s a huge win aesthetically I feel like it’ll it’ll look better. So my question is how they so they’re very They should be, This way, but they’re veryum stubborn with what they want. So, how do I best advise them without coming across as not listening and pushy?

00:56:42 Speaker 1
I would just say, uh, I would just give give them the best data and all that, and then let them make a choice. Say, look, I am not going to, i am not trying to try to influence you one way or the other. I am just thinking about resale in the future and resale in the future. You know, This, this, you know the detached is going to add probably fifteen to twenty five thousand in value. The attached one is probably going to add twenty five to thirty five thousand of value. And then. And so just so, you know, if if at some point you are like, okay, it’s time to sell the home a few years down the road I want and I am involved. I just want to make sure I gave you those numbers up front. Definitely do what you want to do because because maybe the attached gives you so much, even though it’s.

00:57:23 Speaker 1
The numbers don’t make as much sense. It may give them enough like emotional value that they’re willing to spend it. Um, and so you just sort of give them the data, then let themum hang themselves if they choose to.

00:57:38 Speaker 6
I mean, I think it would be hanging themselves if they go with the attached. But I mean at the end of the day, yeah, it’s not my it’s not my house. Um but thank you that that helps a lot.

00:57:50 Speaker 1
Okay, awesome. Well, thanks for the party. We talked about some really interesting properties today. Every one of these was actually a really unique situation. Okay, rock and roll. We’re going to be we’ll convene again tomorrow at eleven o’clock.